## 10. Income Taxes

The components of the provision/(benefit) for income taxes are as follows:

| Fiscal Years | 2011 | 2010 | 2009 |
|---|---|---|---|
| Current: | | | |
| Federal | $ (1.4) | $ 5.2 | $ 8.3 |
| State and local | 0.9 | 1.5 | 1.6 |
| Foreign | 4.9 | 5.2 | 6.4 |
| | 4.4 | 11.9 | 16.3 |
| Deferred | 17.6 | 5.3 | (33.9) |
| Provision/(Benefit) for Income Taxes | $22.0 | $17.2 | $(17.6) |

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The following table reconciles the United States statutory income tax rate with our effective income tax rate:

| Fiscal Years | 2011 | 2010 | 2009 |
|---|---|---|---|
| United States statutory rate | 35.0% | 35.0% | 35.0% |
| State taxes, net of federal tax benefit | 2.7% | 2.3% | 0.9% |
| Foreign earnings taxed at different rates | 1.1% | (3.8)% | 1.9% |
| Change in tax contingency reserve | 0.4% | 0.6% | 0.6% |
| Goodwill impairment | – | – | (15.8)% |
| Non-deductible fines and penalties | – | – | (1.8)% |
| Share-based compensation | 0.6% | 2.9% | (1.4)% |
| Permanent differences and other, net | 0.1% | 0.5% | 0.1% |
| Effective income tax rate | 39.9% | 37.5% | 19.5% |

The change in the tax contingency reserve in fiscal year 2011 was the result of the expiration of certain statutes and the favorable resolution of other tax matters, offset by reserve additions during the year. The change in the tax contingency reserve in fiscal year 2010 was the result of the expiration of certain statutes offset by reserve additions during the year. The change in the tax contingency reserve in fiscal year 2009 was the result of the expiration of certain statutes and the favorable resolution of other tax matters. The negative 15.8% impact on the effective tax rate in fiscal year 2009 is due to the impact of the non-deductible goodwill impairment charges recorded in fiscal year 2009.

The tax effects of temporary differences that give rise to deferred tax assets and liabilities are as follows:

| | 2011 | 2010 |
|---|---|---|
| Deferred tax liabilities: | | |
| Inventory | $(20.8) | $(17.5) |
| Depreciation | (16.5) | (8.9) |
| Intangibles | (32.4) | (25.0) |
| Total deferred tax liabilities | (69.7) | (51.4) |
| Deferred tax assets: | | |
| Accruals and reserves | 46.0 | 43.1 |
| Share-based payments | 5.1 | 5.0 |
| Derivative financial instruments | 0.9 | 2.4 |
| Other | 5.9 | 5.7 |
| Gross deferred tax assets | 57.9 | 56.2 |
| Less valuation allowance | (5.0) | (4.7) |
| Total deferred tax assets | 52.9 | 51.5 |
| Net deferred tax (liabilities)/assets | $(16.8) | $ 0.1 |





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Net deferred tax assets and liabilities are presented in the Consolidated Balance Sheet separately for each major tax jurisdiction. The net deferred tax assets and liabilities are presented in the Consolidated Balance Sheet as follows:

| | 2011 | 2010 |
|---|---|---|
| Deferred tax assets: | | |
| Other current assets | $ – | $2.0 |
| Other, principally retirement plan assets | – | 2.9 |
| Net deferred tax assets | – | 4.9 |
| Deferred tax liabilities: | | |
| Deferred income taxes, current | 7.6 | 3.6 |
| Deferred income taxes, noncurrent | 9.2 | 1.2 |
| Net deferred tax liabilities | 16.8 | 4.8 |
| Net deferred tax (liabilities)/assets | $(16.8) | $0.1 |

The deferred tax assets include $4.5 million and $4.4 million related to state net operating loss carry-forwards which expire between fiscal year 2013 and fiscal year 2031, and $0.4 million and $0.4 million related to foreign net operating loss carry-forwards at July 2, 2011 and July 3, 2010, respectively.

We recognize a valuation allowance if, based on the weight of available evidence, it is more likely than not that some portion, or all, of a deferred tax asset will not be realized. The valuation allowance of $5.0 million and $4.7 million at July 2, 2011 and July 3, 2010, respectively, relates to state net operating loss carry-forwards and foreign net operating loss carry-forwards. The amount was increased by $0.3 million for losses generated during the fiscal year ended July 2, 2011. The valuation allowance for foreign net operating loss carry-forwards of $0.4 million was established during the fiscal year ended July 3, 2010.

We have foreign tax credit carry-forwards of $1.8 million, generated during fiscal year 2011, which expire in fiscal year 2021. We have determined that no valuation allowance is necessary as of July 2, 2011.

We have not provided U.S. income taxes and foreign withholding taxes on undistributed earnings from our foreign subsidiaries of approximately $59.1 million as of both July 2, 2011 and July 3, 2010. These earnings are considered to be

indefinitely reinvested in the operations of such subsidiaries.

We continue to recognize interest and penalties related to uncertain tax positions as a component of income tax expense. Net tax-related interest and penalties were immaterial for the years reported. As of July 2, 2011 and July 3, 2010, we had $2.0 million and $1.8 million, respectively, of accrued interest and penalties related to uncertain tax positions, of which $1.5 million and $1.2 million would favorably affect our effective tax rate in any future periods, if recognized.

We file income tax returns in the United States, Canada and multiple state jurisdictions. We have substantially concluded on all U.S. Federal and Canadian income tax examinations through fiscal years 2007 and 2005, respectively. With few exceptions, we are no longer subject to state and local income tax examinations prior to fiscal year 2007.

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A reconciliation of the beginning and ending amount of unrecognized tax benefits is as follows:

| | Fiscal Year 2011 | Fiscal Year 2010 |
|---|---|---|
| Beginning balance | $ 12.8 | $ 14.3 |
| Tax positions related to current year: | | |
| Gross increase | 2.6 | 2.0 |
| Gross decrease | – | – |
| Tax positions related to prior years: | | |
| Gross increase | 3.7 | 0.8 |
| Gross decrease | (0.3) | (0.1) |
| Settlements | (1.6) | – |
| Lapses in statutes of limitations | (3.0) | (4.2) |
| Ending balance | $ 14.2 | $ 12.8 |

As of July 2, 2011 and July 3, 2010, the total amount of unrecognized tax benefits was $14.2 million and $12.8 million, respectively, of which $3.0 million and $4.5 million would favorably affect the effective tax rate, if recognized. We are not aware of any tax positions for which it is reasonably possible that the total amounts of unrecognized tax benefits will significantly change in the next 12 months.